

CRNC  
CRNC N/A

|      |                 |                             |                                   |                      |
|------|-----------------|-----------------------------|-----------------------------------|----------------------|
| Hold | \$11.93 ▲ 5.34% | 12M Price Target<br>\$13.50 | 52-Week Range<br>\$5.85 – \$13.74 | Market Cap<br>\$539M |
|------|-----------------|-----------------------------|-----------------------------------|----------------------|

CRNC: Voice AI Comeback Story Building Momentum

WHAT HAPPENED

- CRNC just ripped ~21% in a week (\$9.85 → \$11.93) on light volume today (only 167K shares) — that's a quiet grind higher, which usually means short covering plus small buyers accumulating rather than a big institutional push. It's sitting at 77% of its 52-week range, meaning the stock has run hot and is closer to its highs than lows.
- The catalyst is likely the delayed reaction to the BYD partnership expansion (LLM-powered in-car AI) from early May — plus Comm Services ETF up 3.4% today, so there's a broader tech/AI risk-on bid lifting names like this.

WHY IT MATTERS

Here's what this move probably means: the market is starting to believe CRNC's turnaround pitch — that they're not just a legacy voice-recognition dinosaur getting eaten by ChatGPT, but a real player in the in-car AI stack because automakers (especially Chinese ones like BYD) don't want to hand their cabin experience to Google or Apple. The bullish options flow (put/call of 0.52, meaning way more calls than puts) plus 81% institutional ownership tells you smart money is nibbling, not panic-buying. But watch the setup: they MISSED Q2 earnings back in May, and the stock is now well off its lows — so any hiccup in Q3 gets punished harder from here. The real question is whether they can convert BYD-style partnerships into recurring high-margin software revenue instead of one-time licensing fees.

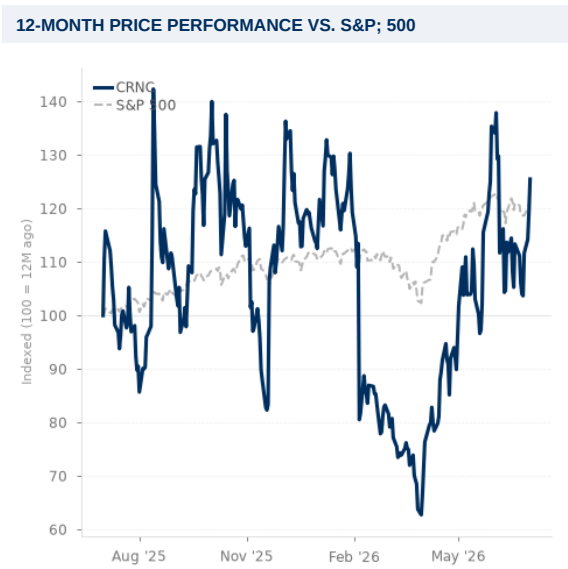
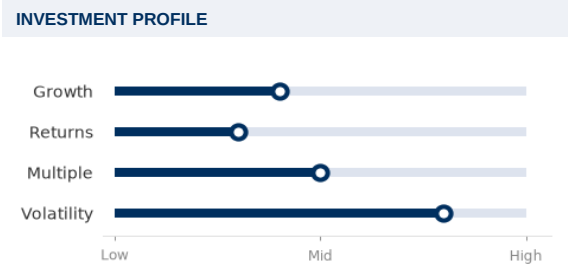
POLICY & POLITICAL WATCH

Two political angles matter here. First, US-China tech tensions: CRNC's biggest growth story right now is Chinese EV makers (BYD), and any Treasury/Commerce move to restrict US software companies from serving Chinese auto OEMs would directly hit the thesis — worth watching the ongoing export control reviews on AI tech. Second, auto tariffs: the current administration's tariff posture on imported vehicles indirectly matters because CRNC gets paid per-vehicle by automakers — if global auto production slows due to tariff-driven demand destruction, their royalty stream shrinks with it. Net-net, the regulatory environment is more headwind than tailwind for a US-based voice AI vendor selling into global auto.

IS IT EXPENSIVE?

At \$539M market cap on ~\$240M expected revenue, you're paying roughly \$2.25 for every \$1 of sales — that's cheap for an "AI" name (peers like SoundHound trade at 20x+ sales) but expensive for a company still losing money and growing revenue in the single digits. The valuation only makes sense if you believe the LLM-in-car narrative accelerates bookings meaningfully in the next 2-4 quarters. Otherwise, this is just a slow-growth software company with a shiny AI wrapper.

| Key Data            |          |
|---------------------|----------|
| Price (USD)         | \$11.93  |
| 12M Price Target    | \$13.50  |
| Upside / (Downside) | +13.2%   |
| Market Cap          | \$539M   |
| FY2026E Revenue     | \$240M   |
| FY2027E Revenue     | \$260M   |
| FY2026E EPS         | (\$0.45) |
| FY2027E EPS         | (\$0.15) |
| Fwd P/E             | N/M      |



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$14.00   | \$12.50   | \$10.00   |
| 6 Months  | \$16.00   | \$13.50   | \$9.00    |
| 1 Year    | \$19.00   | \$14.00   | \$7.50    |
| 2 Years   | \$24.00   | \$16.00   | \$6.00    |
| 5 Years   | \$35.00   | \$20.00   | \$5.00    |
| 10 Years  | \$50.00   | \$25.00   | \$4.00    |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Communication Services (+3.4% today) and Consumer Discretionary — the AI/tech risk-on trade is back and money is flowing to speculative growth names as rate-cut expectations firm up.

**COOLING OFF:** Energy and Utilities aren't in today's mover list — defensive/yield trades are being sold to fund the growth rotation.

**ROTATION WATCH:** Money is moving out of defensives and into AI-adjacent small caps — CRNC benefits from this because it's a "left behind" AI name that screens cheap, so momentum funds and quants can rotate in without paying nosebleed multiples.

**RELATED PLAY:** If the in-car AI thesis works, the automotive semiconductor names (MBLY, Mobileye; QCOM's auto segment) benefit too — they provide the compute CRNC's software runs on.

WHO'S WINNING IN THIS SPACE?

- SOUN (SoundHound AI): The direct comp — pure-play voice AI, trading at a much richer multiple, benefits from the same AI-in-devices narrative but with more restaurant/enterprise exposure
- MBLY (Mobileye): Automotive AI leader — if in-car intelligence is the theme, they're the blue-chip way to play it

**CRNC CONTEXT:** CRNC is the value/turnaround pick in this group — lagging SOUN on hype but cheaper on fundamentals. If the AI-in-car narrative broadens beyond SOUN, CRNC catches up fast because it's the cheaper way to play the same theme. It's currently leading its own historical range but lagging the AI peer group — that's the setup for either a catch-up trade or a reality check.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

**CONVICTION:** 5/10 — cautiously interested but not pounding the table; the turnaround is real but unproven, and the stock has already run.

**POSITION SIZE:** 1-2% max — this is speculative with real business risk, so size it small enough that if it drops 40%, you sleep fine.

**ENTRY POINTS:** I'd wait for a pullback to \$9-10 rather than chase here at \$12; the stock has moved fast and needs to digest gains.

**TIME HORIZON:** 12-18 months — you're waiting for 2-3 more OEM partnership announcements and a clean earnings beat to validate the thesis.

**WHEN TO BAIL:** If they miss Q3 earnings again, lose a major OEM, or announce a capital raise — any of those and I'm out.

**HEDGING:** If you want to isolate the "AI wins" bet from "auto industry slows" risk, buy CRNC and short a small position in an auto supplier ETF — that way you profit if CRNC's software story works even if car sales stall.